Inflation-driven Pricing Strategy

Using BLS CPI Data & SARIMAX Forecasting

Objective: Proactive pricing and inventory management based on 6-month inflation forecasts.

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Executive Summary

1. Inflation Drivers: Gasoline is projected to have the highest inflation (1.42% MoM).

2. Volatility: Energy and Transportation sectors show highest volatility, requiring flexible contracts.

3. Pricing Action: Immediate price adjustments recommended for high-inflation categories to protect margins.

4. Opportunity: Stable categories offer chances for promotional volume growth.

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Inflation Forecasts (Next 6 Months)

Category	Avg MoM Forecast (%)
Gasoline	1.42%
Energy	0.95%
Apparel	0.67%
Headline CPI	0.33%
Shelter	0.28%
Food	0.20%
New Vehicles	0.10%
Used Cars and Trucks	0.04%

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Strategic Recommendations

Scenario: High Inflation (>0.5% MoM)

Action: Increase Prices, Stockpile Inventory, Lock Supplier Rates

Scenario: Moderate Inflation (0-0.5% MoM)

Action: Monitor Margins, Selective Price Increases

Scenario: Deflation (<0% MoM)

Action: Run Promotions, renegotiate supplier contracts down